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SULIMAN S. OLAYAN SCHOOL
OF BUSINESS





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FUNDAMENTALS OF MANAGEMENT AND ORGANIZATIONAL BEHAVIOR

Week 3 – The External and Internal Environment

MNT 215 – Summer 2026

Suliman S. Olayan School of Business | American University of Beirut





THE MANAGER: OMNIPOTENT OR SYMBOLIC?

Omnipotent view: managers are directly responsible for an organization's success or failure

Symbolic view: much of an organization's success or failure is due to external forces outside managers' control



MANAGERIAL CONSTRAINTS

Organizational Environment

Managerial
Discretion

Organizational Culture

Part 1. The External Environment



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THE EXTERNAL ENVIRONMENT AND ITS COMPONENT





THE SPECIFIC ENVIRONMENT

Specific environment: the part of the environment directly relevant to the achievement of organizational goals

Most of management's attention typically focuses on the specific environment



THE SPECIFIC ENVIRONMENT

The specific environment includes one or more of the following:

- Suppliers
- Customers
- Competitors
- Government
- Investors
- Special interest groups



SPECIFIC ENVIRONMENT COMPONENTS (1/2)

Suppliers: Managers need to ensure a steady flow of inputs.

Customers: Organizations exist to meet customer needs.

Competitors: All organizations have competitors that they need to monitor.



SPECIFIC ENVIRONMENT COMPONENTS (2/2)

Government: Federal, state, and local governments influence what the organization can and cannot do.

Investors: Public companies are under the scrutiny of stockholders as well as potential investors because organizational decisions should enhance shareholder value.

Special interest groups: Special interest groups can have a significant impact on the organization. Lobbyists, protestors, various action groups all effect change.

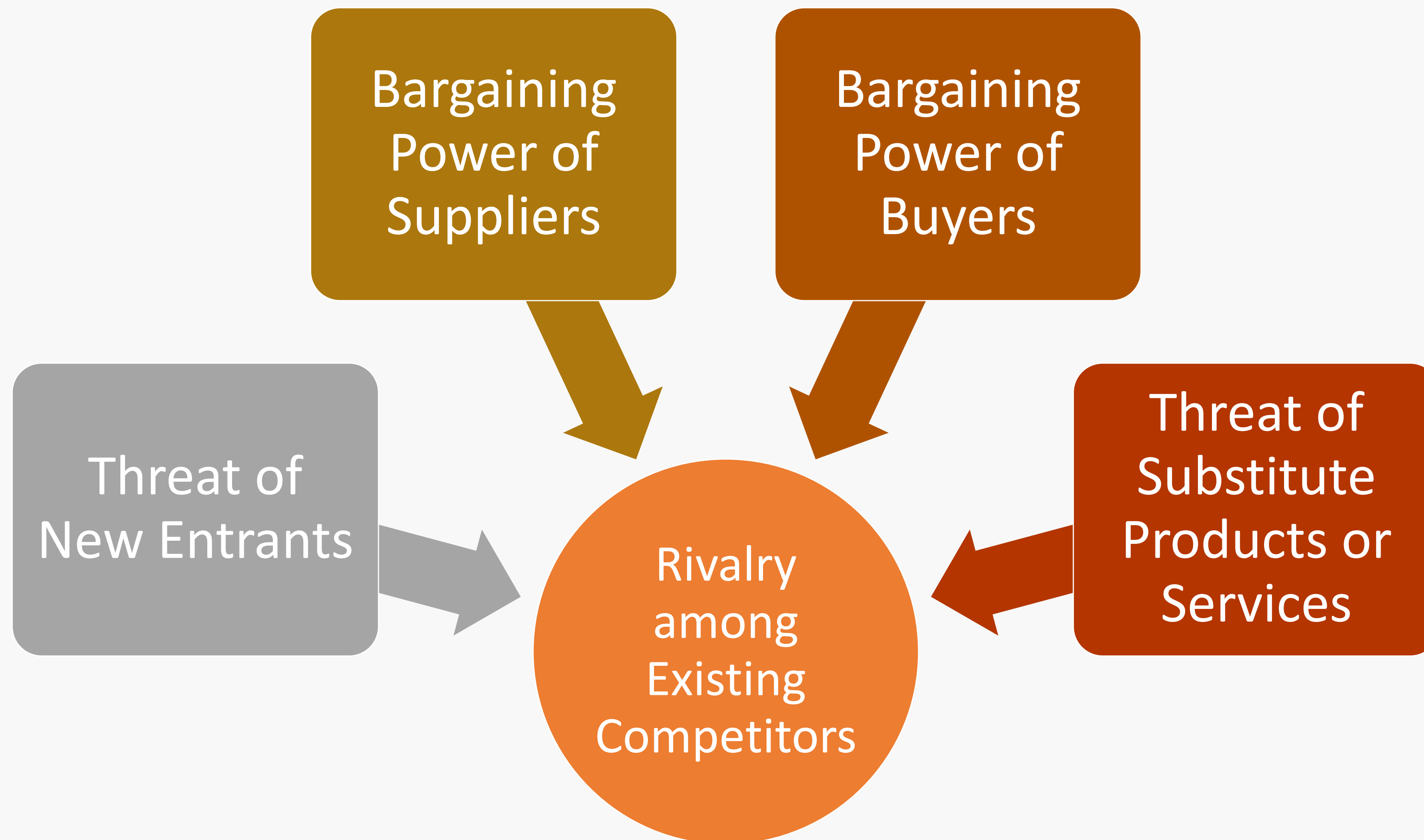


THE ORGANIZATION AND ITS ENVIRONMENT





PORTER'S FIVE FORCES MODEL





THE ENVIRONMENT AND ENVIRONMENTAL UNCERTAINTY

Environment: institutions or forces outside of the organization that could potentially affect performance

- Environments differ on degree of environmental uncertainty
- Environmental uncertainty has two dimensions:
 - Degree of change
 - Degree of complexity



DEGREE OF CHANGE

Environments can be either dynamic or stable

- In a dynamic environment, the components in an organization's environment change frequently.
- In a stable environment, the components in an organization's environment change very little.



DEGREE OF ENVIRONMENTAL COMPLEXITY

Environmental complexity looks at the number of components in an organization's environment and the extent of the knowledge the organization has about those components.

Depending on the organizational environment, managers may need to know a lot about the components, or very little.



ENVIRONMENTAL UNCERTAINTY MATRIX

Degree of change

Degree of complexity

		Stable	Dynamic
Simple	Cell 1	Stable and predictable environment Few components in the environment Components are somewhat similar and remain basically the same Minimal need for sophisticated knowledge of components	Cell 2 Dynamics and unpredictable environment Few components in the environment Components are somewhat similar but are continually changing Minimal need for sophisticated knowledge of components
	Cell 3	Stable and predictable environment Many components in the environment Components are not similar to one another and remain basically the same High need for sophisticated knowledge of components	Cell 4 Dynamics and unpredictable environment Many components in the environment Components are not similar to one another and are continually changing High need for sophisticated knowledge of components

Part 2. The Internal Environment



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ORGANIZATIONAL CULTURE

Just as each individual has a unique personality, an organization, too, has a personality.

Organizational culture: the shared values, principles, traditions, and ways of doing things that influence the way organizational members act and that distinguish the organization from other organizations



ORGANIZATIONAL CULTURE

Research shows there are six dimensions that appear to capture an organization's culture:

1. Adaptability
2. Attention to detail
3. Outcome orientation
4. People orientation
5. Team orientation
6. Integrity

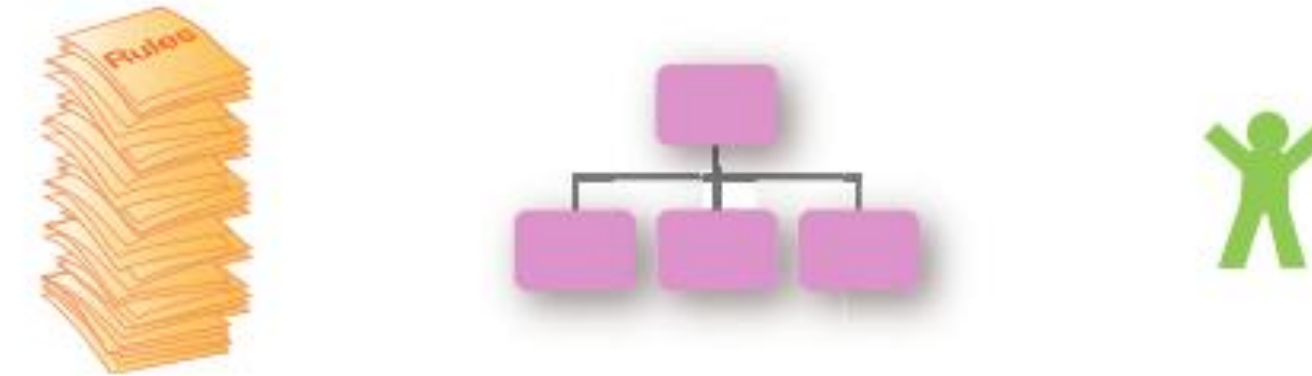


CONTRASTING ORGANIZATIONAL CULTURE

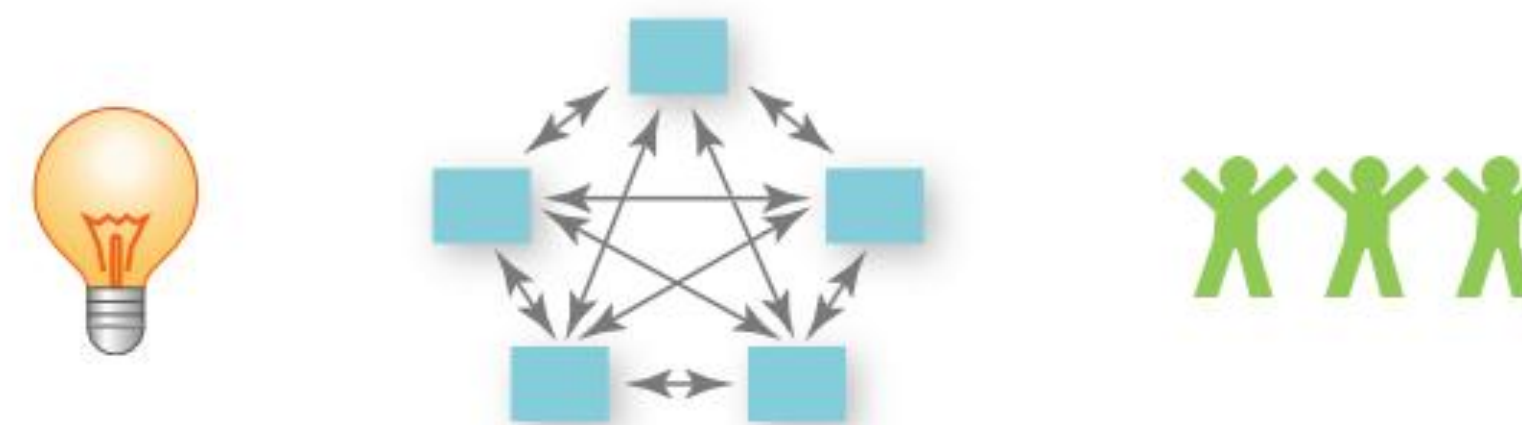
- Risk taking and change discouraged
- Creativity discouraged
- Close managerial supervision
- Work designed around individual employees

- Risk taking and change rewarded
- Creativity and innovation rewarded
- Management trusts employees
- Work designed around teams

Organization A



Organization B





STRONG CULTURES

Strong cultures: organizational cultures in which the key values are intensely held and widely shared

Strong cultures have a greater influence on employees than weak cultures



STRONG VS. WEAK CULTURES

Strong Cultures	Weak Cultures
Values widely shared	Values limited to a few people – usually top management
Culture conveys consistent messages about what's important	Culture sends contradictory messages about what's important
Most employees can tell stories about company history or heroes	Employees have little knowledge of company history or heroes
Employees strongly identify with culture	Employees have little identification with culture
Strong connection between shared values and behaviors	Little connection between shared values and behaviors



WHERE CULTURE COMES FROM AND HOW IT CONTINUES

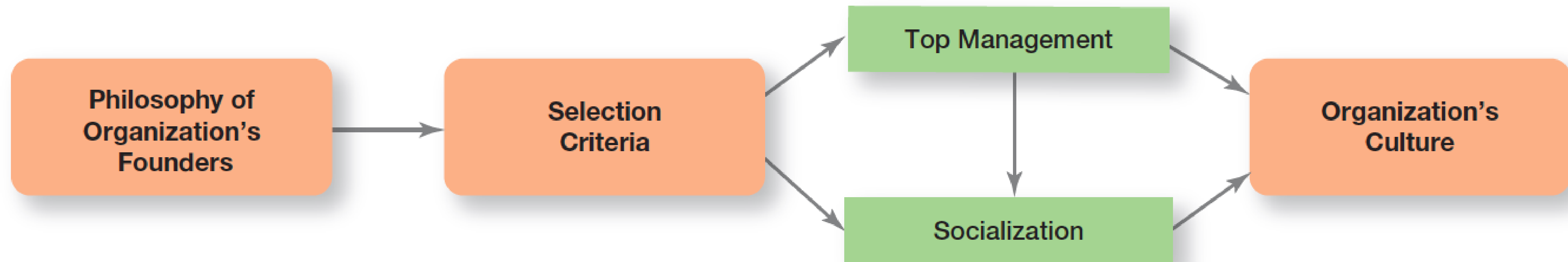
The original source of the culture usually reflects the vision of the founders.

Once the culture is in place, certain organizational practices help maintain it.

The actions of top managers also have a major impact on the organization's culture.



ESTABLISHING AND MAINTAINING A CULTURE



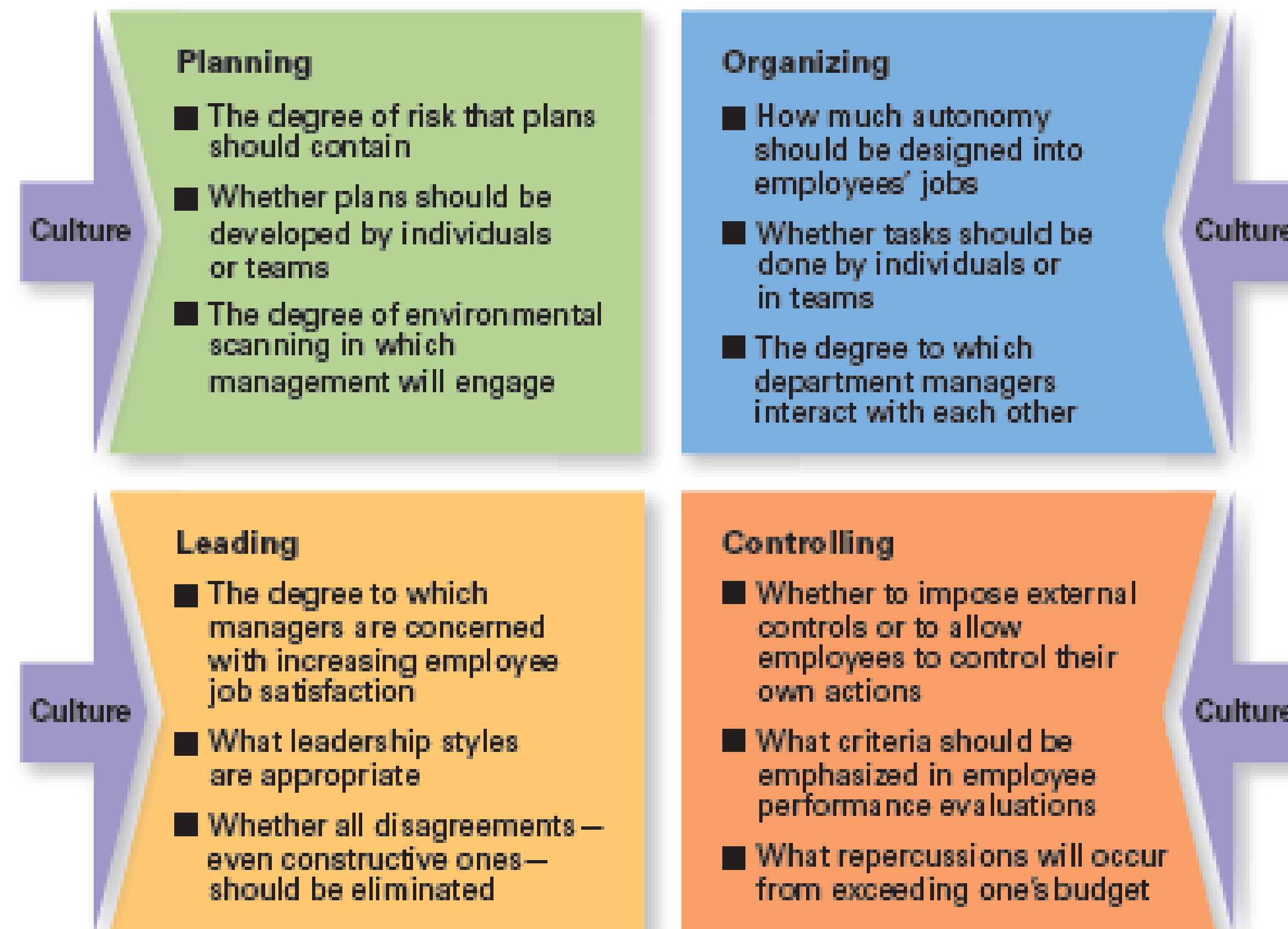


HOW CULTURE IS SHAPED

- Stories
- Rituals
- Material artifacts and symbols
- Language



TYPES OF MANAGERIAL DECISIONS AFFECTED BY CULTURE



THANK YOU



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